



What should be in our first pilot agreement

How do we price this module by module

Help me build our initial go-to-market plan

What legal entities and insurance do we need

Draft our core product governance council charter

For Semester, the first pilot, initial pricing, and governance need to reinforce the same message: **this is a complete university operating system delivered through a controlled, institution-configured rollout—not a loose collection of tools.**

Below is a practical commercial and governance package. It is a business blueprint, not legal or tax advice; have higher-ed SaaS counsel and a CPA adapt the agreement, entity structure, insurance limits, and state-specific requirements before use. SaaS contracts normally need explicit terms for service scope, pricing, data ownership/use, security, DR, SLAs, indemnities, liability, termination, and transition rights. [^1721]

1. First pilot agreement

Use a **Pilot Agreement + Order Form + DPA + Security/AI Exhibit + Implementation Plan**. Avoid a vague “free trial” agreement for an institutional pilot.

Recommended pilot structure

Element	Recommended first-pilot position
Term	One academic term or 90–180 days, with a defined end date
Cohort	One college, department, transfer cohort, advising program, course cluster, or defined student population
Purpose	Validate Semester as the unified student/learning/support operating layer for a defined use case
Production scope	Only modules and integrations listed in the order form
Data scope	Minimum necessary fields; use SSO, course/resource imports, or approved integrations only
Institutional authority	Institution retains authority for official records, registration, degree audit, financial aid, discipline, accommodations, and final academic decisions
Fees	Paid pilot whenever possible; credits may apply to annual conversion only under stated conditions
Support	Defined hours, severity levels, escalation contacts, and no implied emergency/crisis response
Success measures	Baseline, target, measurement method, responsible owner, review dates
Conversion	Pre-agreed annual platform option, pricing guardrails, and decision date—not automatic renewal
Publicity	No logo, testimonial, case study, or results claim without written approval

Element	Recommended first-pilot position
Exit	Export, transition, deletion/retention rules, credential/integration revocation, and project closeout

Core agreement sections

1. Parties, effective date, and definitions.
2. Pilot purpose, scope, cohort, enabled modules, and excluded features.
3. Implementation plan, customer responsibilities, and Semester responsibilities.
4. Fees, invoicing, payment terms, taxes, and optional annual-license credit.
5. Service access, entitlement, acceptable use, and suspension rights.
6. Data ownership, permitted processing, FERPA/school-official responsibilities, data minimization, and prohibited secondary use.
7. Privacy, DPA, subprocessors, retention, deletion, legal holds, and export.
8. Security safeguards, incident-notification process, and customer security cooperation.
9. AI terms: provider/data use, no general-model training by default, course/institution policy configuration, limitations, and human oversight.
10. Accessibility: current conformance statement, known limitations, feedback route, remediation process, and customer configuration duties.
11. Interoperability: SSO/LTI/OneRoster/API scope, testing, dependencies, rate limits, data mapping, and customer-owned systems.
12. Support, service-level objectives, maintenance, status communications, and change-freeze periods where applicable.
13. Intellectual property, customer content, feedback, and product improvements.
14. Confidentiality.
15. Warranties, disclaimers, indemnity, limitation of liability, and insurance.
16. Termination, transition assistance, data export, deletion, and survival clauses.
17. Pilot evaluation, optional conversion, and non-binding roadmap language.
18. Governing law, notices, assignment, and standard legal terms.

Pilot statement of work

Attach a short SOW that removes ambiguity:

Pilot name:
Semester Academic Operating System Pilot

Institution:
[Institution]

Pilot period:
[Start date] through [End date]

Population:
[Example: 500 transfer students in two academic programs]

Enabled modules:
Today, Academic Plan, course workspace, Work Completion, Study Studio, No Wrong Door Support, transfer hub, accessibility/data-agency center, and named administrator tools.

Enabled integrations:
[SSO], [one LMS read connection], [approved calendar path],

[resource directory import].

Excluded modules:

Final-grade posting, SIS write access, payments, proctoring, emergency response, broad community feed, employer data exchange, and other features not specifically listed.

Customer responsibilities:

Executive sponsor, system owner, content owners, student/faculty communications, timely security/integration decisions, test users, and support escalation contacts.

Semester responsibilities:

Tenant setup, approved configuration, training, implementation support, documentation, security/privacy/accessibility support materials, pilot analytics, and closeout report.

Success metrics:

Activation, first meaningful outcome, verified-resource discovery, advisor preparation, work-completion adoption, accessibility success, support handoff success, implementation effort, and user trust.

Review dates:

Kickoff, week 2, week 4, midpoint, week 10, end-of-pilot value review.

Conversion decision date:

[Date]

Pilot fee:

[\$ amount] plus applicable taxes and approved implementation fees.

Pilot commercial rule

Do not offer an unlimited free pilot. A paid pilot does three useful things:

It proves the institution has a real problem and sponsor.

It funds implementation, support, and security work.

It creates a clear commercial path to the annual platform agreement.

Offer a partial pilot-fee credit toward a signed annual agreement if the institution converts by a defined date. Do not automatically credit implementation labor or custom development.

2. Module-by-module pricing

Your pricing should preserve the whole-platform story:

One platform contract

+ Foundation required

+ institution-configured module activation

+ implementation/support tier

+ usage/storage/AI guardrails where applicable

Do not make the buyer assemble a confusing menu of dozens of tiny products.

Pricing structure

Commercial layer	Pricing basis	Why
Semester Foundation	Annual platform fee based on institution enrollment band or covered population	Pays for the unified identity, data, design, trust, support, and control-plane foundation
Domain modules	Annual fee based on institution band, covered population, or defined scope	Lets institutions activate learning, student life, pathways, or governance modules over time
Implementation	One-time fixed scope plus change-order rules	Protects margin and prevents unlimited bespoke work
Premium support	Annual percentage or tiered fixed fee	Funds named support, training, enhanced SLAs, and success reviews
AI usage	Included allowance plus transparent overage/guardrail, or customer-selected model account	Prevents margin erosion and surprise spend
Storage/large files	Included allowance plus transparent overage or archival tier	Aligns cost with usage
Payments	Pass-through processor fee plus transparent platform/operations fee, only for approved transactions	Keeps financial flows explicit
Custom work	Time-and-materials or fixed SOW	Prevents roadmap distortion

Recommended module architecture

Module	Buyer	Price metric	Commercial notes
Foundation	Institution / department	Enrollment band, covered cohort, or campus	Required for any institutional deployment
Academic Navigation	Student success, advising, transfer, enrollment	Covered students or program scope	Strong early entry point
Learning & LMS	Academic affairs, online learning, faculty	Active course enrollments or institution band	Includes course workspace, study/work completion, selected native-LMS functions
Assessment & Gradebook	Academic affairs	Active course enrollments / high-stakes scope	Price separately only once mature enough for consequential use
Student Life & Community	Student affairs	Institution band or active community population	Clubs, events, mentorship, service discovery, moderation controls
Student Support Navigator	Student success, basic-needs/transfer offices	Institution band or service-network scope	Treat sensitive workflows as premium governed configuration
Career & Pathways	Career services, experiential learning	Covered students or active career users	Portfolio, opportunity tracking, skills evidence, alumni/employer workflows

Module	Buyer	Price metric	Commercial notes
AI Control Center	CIO/provost/teaching center	Institution band plus model/usage tier	Policy, provider governance, approved sources, evaluations, controls
Institutional Control Plane	CIO/IT/security	Institution band	SSO, integrations, evidence, audit, policy, operational control
Interoperability Pack	CIO/IT	Per integration family or enterprise tier	LTI, OneRoster, SCIM, SSO, APIs, data mapping, health monitoring
Payments/Transactions	Campus operations	Transaction fee plus operations scope	Later-stage and separately governed
Enterprise Platform	Executive sponsor	Multi-year annual contract	Bundles core modules with governance, support, and implementation plan

Indicative starting price bands

These are **commercial-design placeholders**, not market quotes. Validate them through discovery, willingness-to-pay interviews, implementation costs, competitive procurement, and counsel/finance review.

Customer scope	Annual software range	One-time implementation range	Appropriate entry point
Individual student	\$0 free tier; paid plan roughly \$8–25/month	None	Personal Academic OS and Study Studio
Department/program pilot	\$10,000–30,000	\$5,000–20,000	Transfer, advising, course cluster, career, or student-success pilot
Small institutional deployment	\$30,000–90,000/year	\$15,000–75,000	Foundation + Academic Navigation + selected module
Mid-market institution	\$90,000–250,000/year	\$50,000–200,000	Multiple modules, SSO, integrations, implementation/support
Large/enterprise university	\$250,000–750,000+/year	\$150,000–500,000+	Enterprise platform, governance, integrations, premium support, multi-campus deployment

Use annual subscription pricing because it aligns with institutional budgeting and recurring SaaS access, while tiers can be based on users, feature scope, storage, and service level. ^[1716]
[1719]

Pricing guardrails

Foundation is not optional for institutional use.

Do not price core privacy, accessibility, export, or security controls as premium add-ons.

Do not discount implementation to win a deal unless scope is proportionally reduced.

Do not include unlimited AI usage in a fixed annual price without a cost cap.

Do not sell individual student data, advertising audience access, or employer target:

Do not promise a module in contract language until it has an owner, support model, tested controls, and documented scope.

Price pilots to cover real onboarding, support, and learning—not merely hosting.

3. Initial go-to-market plan

Your GTM is a **two-engine system**:

Engine A: Student-led adoption
Students receive real personal planning, study, work-completion, career, and navigation value even before formal institutional adoption.

Engine B: Institution-led platform sale
Departments and universities purchase a governed, accessible, interoperable operating layer for student experience.

First ideal customers

Prioritize customers where fragmentation is painful and a senior owner can fund a defined solution:

Transfer-intensive institutions and transfer centers.
Community colleges and regional public universities.
Student-success/advising organizations.
Institutions with complex, fragmented student service landscapes.
Accessibility-forward institutions.
Departments running large gateway-course or retention initiatives.
Career centers and experiential-learning teams.
Universities actively establishing governed AI policy and support.

First five buyer personas

Buyer	Core pain	Semester message	Primary offer
VP/AVP Student Success	Students cannot find support or understand next actions	One source-aware action layer across academic and student-service journeys	Academic Navigation / No Wrong Door pilot
Transfer Center director	Transfer students lose context, time, confidence, and support	A transfer transition operating system with official-source routing and peer/support pathways	Transfer Hub pilot
CIO / CISO	Fragmented tools, shadow AI, integration/security burden	Governed, standards-first, observable platform rather than uncontrolled point tools	Control Plane + AI governance discovery

Buyer	Core pain	Semester message	Primary offer
Provost / academic affairs	Learning support and AI tools are inconsistent across courses	Course-level policy, Study Studio, work completion, accessible learning, and evidence-based support	Learning and AI pilot
Student Affairs leader	Club/service/event systems are disconnected from student experience	Governed community, service discovery, mentorship, and student-life operations	Student Life module pilot

Go-to-market sequence

Phase 1: Market proof — first 60 days

Define one category statement and one core platform narrative.
 Create the enterprise website, Trust Center, system-boundaries page, data/AI transparency page, accessibility page, and pilot landing page.
 Build the synthetic interactive demo tenant.
 Complete basic security, privacy, accessibility, and pilot contract package.
 Recruit 15–25 discovery interviews across the five buyer personas.
 Recruit 3–5 design partners.
 Publish one high-value asset:
 Transfer Navigation Playbook, Academic Friction diagnostic, or Campus AI Governance Canvas.

Phase 2: Paid pilots — days 61–180

Sell 1–3 paid pilots with constrained, high-value institutional use cases.
 Run executive/operational discovery and implementation readiness workshops.
 Instrument pilot outcomes from day one.
 Host recurring webinars, office hours, and implementation clinics.
 Publish only verified learning and anonymized themes.
 Create customer success plans and conversion dates before launch.

Phase 3: Repeatability — months 6–12

Turn pilot implementation into standardized packages.
 Create customer references only with written approval.
 Produce outcome case studies with methodology and limits.
 Expand through departments, programs, and new modules.
 Build channel relationships with higher-ed consultants, systems integrators, accessibility partners, and 1EdTech ecosystem participants.
 Launch a controlled student/free tier that feeds institutional demand without pretending to be institution-affiliated.

Channels

Founder-led personalized outbound:

Student success, transfer, advising, student affairs, CIO/CISO, provost/teaching-and-learning, career-service leaders.

LinkedIn:

Executive thought leadership, research, use-case proof, webinar distribution, not generic product announcements.

Webinars and clinics:

Transfer navigation, accessible assessment, campus AI governance, student-service content operations, interoperability readiness.

Conferences and communities:

EDUCAUSE, 1EdTech, NACADA, NASPA, community-college networks, transfer-success groups, accessibility communities, career-services associations.

Content:

Academic Friction Index, transfer navigator templates, AI policy canvas, accessibility assessment guide, student data-agency guide.

Bottom-up student product:

Planning/study/work-completion value, with privacy-safe, clearly nonofficial positioning and no misleading institutional affiliation.

Sales process

Target account

- personalized problem hypothesis
- 30-minute discovery
- workflow and stakeholder map
- product demonstration using the buyer's actual use case
- security/accessibility/AI/integration qualification
- pilot design workshop
- paid pilot proposal
- procurement room and contract review
- implementation readiness
- launch
- midpoint value review
- annual conversion/expansion decision

4. Legal entities and insurance

Entity decision

If you intend to raise venture capital, issue stock/options, sell enterprise SaaS to universities, and build a long-lived technology company, a **Delaware C corporation** is commonly the default structure. If you intend to bootstrap, remain small, and optimize for pass-through tax treatment, an LLC may be more appropriate initially.

A startup lawyer and CPA should decide this with you. Delaware describes entity formation as requiring selection of the entity type and name; startup legal guidance commonly notes that C corporations are generally better suited to outside equity financing and separate entity/IP ownership. ^[1715]_[1718]

Core formation checklist

- Select entity structure with startup counsel and CPA.
- File formation documents and appoint registered agent.
- Adopt bylaws or operating agreement.
- Appoint initial board/officers.
- Issue founder equity and maintain cap table.
- Complete founder invention/IP assignment.
- Use PIIA/IP assignment and confidentiality agreements for employees, contractors, advisors, and consultants.
- Create equity incentive plan before meaningful hiring, if C-corp.
- Consider timely 83(b) elections for restricted founder stock with tax counsel.
- Obtain EIN and required state/local registrations.
- Open company bank account and establish accounting system.
- Register for applicable sales tax/payroll tax obligations.
- Set contract approval and signature authority.
- Register/clear name, domains, and trademarks with counsel.
- Adopt records-retention, privacy, security, and governance policies.

Insurance sequence

Coverage	When to obtain	Why it matters
Commercial General Liability	At formation or first contract/office requirement	Covers common third-party bodily injury/property claims and contractual requirements
Cyber Liability	Before handling real student/customer data	Helps cover breach response, forensics, notification, regulatory response, ransomware, and business interruption
Technology E&O / Professional Liability	Before enterprise pilots and institutional contracts	Covers claims arising from software/service failures, errors, or failure to perform
Directors & Officers	Before institutional fundraising, investor board, or priced round	Protects directors/officers from management-related claims
Employment Practices Liability	At first meaningful employee hiring or with D&O package	Covers employment-related claims; assess with counsel/broker
Workers' compensation	When required by the state(s) where employees work	Typically legally required based on workforce location
Crime / social engineering	As payment, finance operations, and vendor payments mature	Helps with fraud, funds-transfer, and employee dishonesty exposures
Media / IP coverage	Evaluate as content, AI, and marketing scale	Can address certain media/IP risks, subject to policy terms
Key-person	Evaluate later if business depends heavily on one individual	Helps address financial consequences of loss of key leadership

For SaaS companies processing customer data, common coverage sequencing is general liability, cyber, Technology E&O, then D&O as enterprise contracts and financing increase; actual limits and exclusions must be negotiated with a broker who understands edtech and higher-education contracts. [¹⁷²³][1724]

5. Core Product Governance Council Charter

Semester Product Governance Council Charter

Purpose

The Semester Product Governance Council ensures that every enabled platform capability advances Semester’s mission to provide a unified, accessible, source-aware, privacy-respecting, interoperable university operating system.

The Council ensures that product decisions balance student value, institutional authority, security, privacy, accessibility, AI safety, operational reliability, commercial viability, and evidence-based claims.

Scope

The Council governs:

- New platform modules and material features.
- High-risk data use and integrations.
- AI models, providers, policies, evaluations, and tool actions.
- Assessment, grading, integrity, and student-record workflows.
- Accessibility requirements, known limitations, and remediation priorities.
- Community, mentoring, moderation, safety, and sensitive-support workflows.
- Identity, permissions, sharing, retention, deletion, and export behavior.
- Institutional configuration and multi-tenant product behavior.
- Major release approval and customer-impacting change.
- External product claims, certifications, roadmap commitments, and launch materials.

Principles

- Student agency and dignity.
- Institutional authority for official decisions.
- Accessibility as core quality.
- Source, Scope, and Status for material information and recommendations.
- Minimum necessary data and privacy by design.
- Security and resilience by design.
- Human accountability for high-impact outcomes.
- Standards-first interoperability and portability.
- Evidence before public claim.
- One coherent platform, not disconnected tools.
- Modular activation with shared foundations.
- No dark patterns, hidden surveillance, or sale of student data.

Membership

Role	Decision responsibility
Council Chair / Product executive	Agenda, prioritization, product strategy, decision record
Engineering leader	Architecture, delivery feasibility, resilience, technical debt
Security lead	Security risk, access, incidents, supplier/security requirements
Privacy/legal lead	Data use, contracts, FERPA/privacy implications, retention, legal holds
Accessibility lead	WCAG, ACR/VPAT, disabled-user impact, remediation gates
AI governance lead	Models/providers, evaluations, policy, high-risk uses, misuse controls
Customer success/implementation lead	Deployability, training, support, customer outcome and change impact
Design/research lead	User experience, usability, student/faculty/staff evidence
Institutional advisory representative	Higher-ed workflow/authority perspective
Student advisory representative	Student clarity, agency, accessibility, and lived-experience perspective
Finance/commercial representative	Pricing, entitlement, margin, contract impact
Operations/SRE representative	Monitoring, supportability, incident readiness, release readiness

Members may be internal, contracted, or advisory during early stages, but each decision area must have a named accountable owner.

Decision rights

The Council must approve before release:

Any feature processing education-record PII or sensitive data in a new way.
Any new AI provider, model, external tool action, or model-training/data-use change.
Any feature involving grading, assessment, integrity, discipline, accommodation, basic-needs referral, payment, minors, or community moderation.
Any new external integration or change to integration scope.
Any material change to retention, sharing, access, export, or deletion behavior.
Any release with a critical accessibility, privacy, security, or reliability impact.
Any public claim regarding certification, compliance, security, accessibility, AI safety, customer outcomes, or interoperability.
Any exception to established release gates or risk thresholds.

Required decision packet

Every proposal must include:

Problem and target outcome.
Users and affected stakeholders.
Customer/institutional owner.
Product scope and non-goals.
Workflow and user journey.
Data inventory, classification, source, retention, and sharing model.

Permission and tenant-isolation model.
Source, Scope, and Status behavior.
Accessibility requirements and test plan.
Security threat model and control plan.
AI model/provider/policy/evaluation plan, if applicable.
Integration/data-map impact, if applicable.
Operational support/runbook/incident plan.
Commercial entitlement, pricing, and implementation impact.
Success metrics and leading/lagging indicators.
Known risks, residual risk, and rollback/disable plan.
Required evidence, approvals, and release gates.

Meeting cadence

Weekly:
Product/release readiness triage and risk review.

Monthly:
Roadmap, customer evidence, AI/vendor changes, accessibility backlog, privacy/security findings, operational metrics, and commercial impact.

Quarterly:
Risk appetite, policy review, incident learnings, audit evidence, standards/certification progress, customer outcomes, and strategic roadmap.

Decision outcomes

Approved.
Approved with required conditions.
Pilot only.
Deferred pending evidence.
Rejected.
Escalated for executive/legal/customer decision.

Every outcome must have a decision record including owner, reasoning, conditions, evidence, review date, and customer/communication impact.

Release gates

No feature may enter production when:

A P0/P1 security, privacy, accessibility, grade-integrity, or reliability finding is
The feature lacks a named owner or support/runbook.
Data flow, permissions, or retention behavior is undocumented.
Required accessibility testing has not passed or an approved alternative is absent.
AI evaluation or provider approval is incomplete.
Integration scope has not been tested in a sandbox.
Required customer communications, documentation, pricing, or entitlement logic are at
Rollback/disable controls are untested for high-risk capabilities.

Transparency

The Council will maintain:

Decision records.
A risk/exception register.
An AI inventory and change log.
Accessibility issue and remediation register.
Security/privacy evidence register.
Customer-impact release log.
Public Trust Center updates when claims or material behavior changes.

Immediate next actions

1. Select your entity path with startup counsel and a CPA; if venture funding is likely, evaluate Delaware C-corp formation promptly.
2. Engage a broker who understands edtech/SaaS and obtain cyber plus Technology E&O coverage before handling production institutional/student data.
3. Build the pilot agreement package: MSA/pilot agreement, SOW/order form, DPA, security/AI exhibit, and implementation plan.
4. Define Foundation, Learning, Student Life, Pathways, and Control Plane entitlements—then set pilot and annual price floors.
5. Create the Governance Council, assign interim owners, and adopt the charter.
6. Run 15–25 buyer interviews, sell 1–3 paid pilots, and capture measurable evidence before broad enterprise expansion.
7. Build a procurement room, pilot dashboard, and standardized implementation factory alongside product development.

The commercial principle is simple: Semester sells a unified platform; pilots prove a connected outcome; annual contracts expand platform activation; governance keeps the whole system trustworthy as it grows.



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